

TeamWork#75

Project presentation

Nibou Nurturing Sustainability Initiatives





Introduction

Problem: identify essential principles and strategies for Nibou to nurture sustainable initiatives.

Sustainability:

- SDG 8: Decent Work and Economic Growth
 - Nibou's adoption of sustainable packaging positions it as pioneer in Malaysia's food industry
- SDG 12: Responsible Consumption
 - Biodegradable and renewable packaging material
- SDG 13: Reduction in Greenhouse Gas Emissions
 - Utilise biodegradable substance can lessen greenhouse gas emissions
- SDG 17: Collaborative efforts
 - Partner with neighbourhood and global agencies to promote and implement sustainable practices

01/ Marketing

- Marketing ideatopositionusa sustainable brand



Marketing

PEOPLE

Community Engagement and Leadership

Campaign Name: "Green Guardians of Nibou"

Objective: To position Nibbou Industries as a leader in sustainability by involving the local community in recycling and sustainability education efforts.

Key Initiatives:

- Local Ambassadors:
- School Programs:
- Community Events:

Launch Event

A high-profile event featuring local celebrities and community leaders to kickstart the campaign. Activities include live recycling demonstrations, eco-friendly product showcases, and interactive educational booths.

Reference:

<https://www.duel.tech/blog/community-based-marketing-guide-including-tactics-and-examples#:~:text=Lego's%20community%20is%20an%20excellent,and%20comment%20on%20specific%20ideas.>



Marketing

SKILLS

Empowering Through Education and Training

Campaign Name: "Sustainable Skills Academy"

Objective: To educate and empower individuals with the knowledge and skills to practice and promote sustainability in their daily lives.

Key Initiatives:

- Workshops and Webinars
- Certification Programs
- Skill Development Partnerships

Interactive Learning Platform

Developing an online platform with video tutorials, articles, and interactive modules on sustainability topics. Participants can track their progress and earn badges for completed courses.

Eg: Virgin Media O2 Business and Siemens



Marketing

EXECUTION

Integrated Marketing and Visibility

Campaign Name: "Green Footprint Challenge"

Objective: To create high visibility and active participation in sustainability practices through integrated marketing strategies.

Key Initiatives:

- Social Media Campaign
- Partnerships with Local Businesses
- Mobile Recycling Units

Featuring stories of individuals and businesses participating in the campaign on Nibbou's social media channels, creating a sense of community and shared purpose. & Developing an app that tracks users' recycling habits and sustainable actions, rewarding them with points that can be redeemed for eco-friendly products or services.

Eg. Patagonia's Marketing strategy





02/ Packaging

- What kind of Packaging is the best suited
- How it commits to the SDGs

02/ Packaging: Biodegradable Packaging Materials

- Made from plant-based materials such as **Polylactic acid (PLA)**
- Material suitable for liquid-based products.

1. High Barrier Properties:

- Maintains freshness and quality
- Prevents spoilage and extends shelf life

2. Food Safety and Hygiene:

- Prevents leakage
- Maintains product integrity

3. Cost Efficiency Over Time:

- Bulk purchasing discounts
- Increased demand for sustainable materials overtime



- PLA used for liquid-based products
- It can be molded into various shapes, and sizes and be customized to the likes.

Commitment to SDG's



- **Reduced environmental impact** - PLA composts under industrial conditions, breaking down into water and Carbon dioxide, reducing plastic waste.
- **Support for Sustainable Production** - Using renewable materials like PLA, fosters a circular economy where resources are used efficiently and waste is minimized.



- **Industry Leadership** - Sustainable packaging positions it as a leader in sustainable practices within the food industry attracting eco-conscious consumers and investors.
- **Job Creation** - Transition can create new jobs in sustainable packaging sector through collaborations with eco-friendly suppliers and manufacturers.

03/ Cost Research

- Cost research for Marketing and supplier packaging

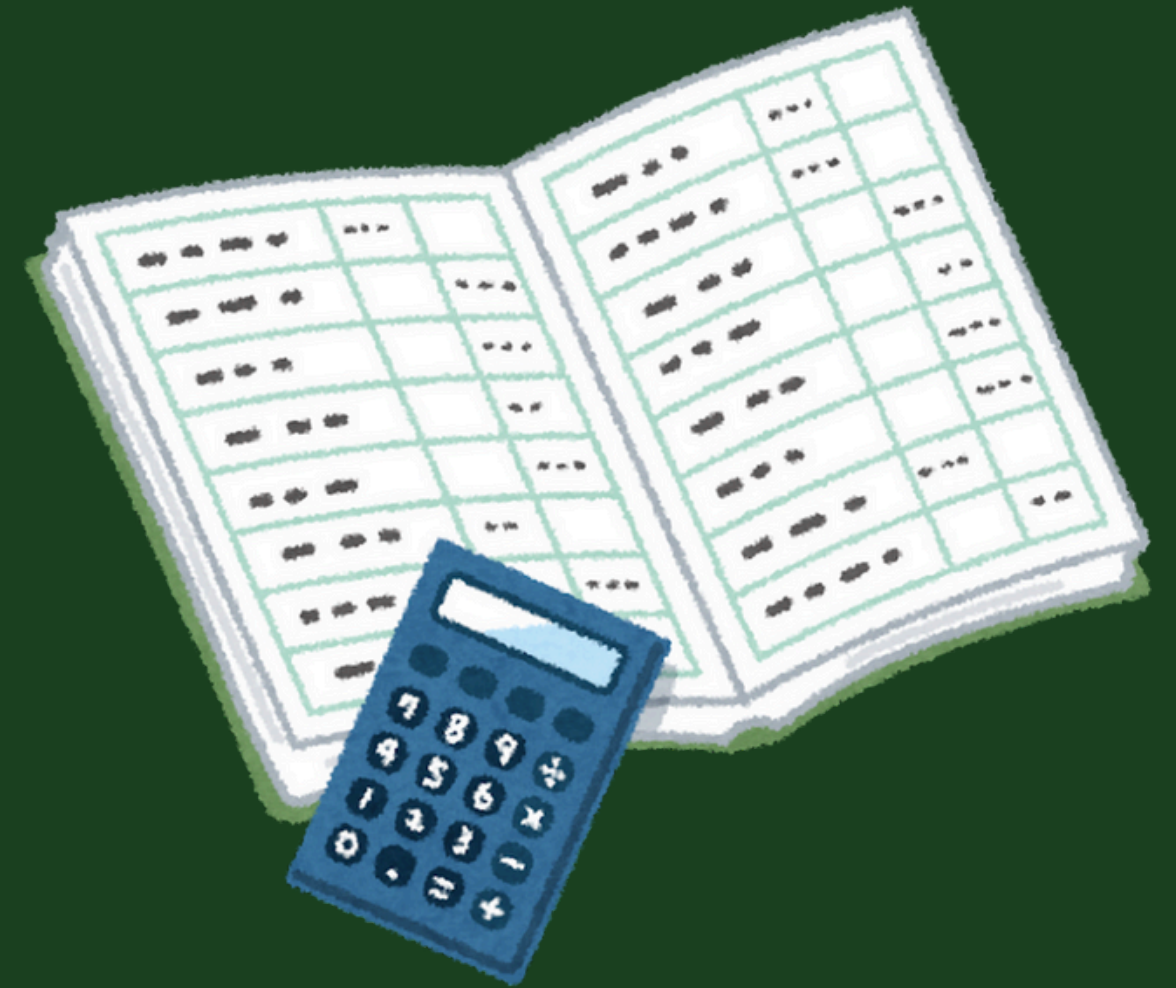


Cost Structure Overview

Key Components

- **Packaging Cost: 10% of the Whole Product Cost**
- **Marketing Budget: 1-2% of Total Revenue**
- **Supplier/Manufacturer Margin : 10 - 15%**
- **Retailers Margin : 15%**
- **Distributors Margin: 15%**
- **Brand Owner Margin: 30 - 50%**

Average snack Price in Malaysia is RM 5 - 6*



Cost Calculation (Before Implementing New Packaging)

Assuming Retail Price : RM 5.50

Retailer's Purchase Price : RM 4.78 (Margin : RM 0.72 ~15%)

Distributor's Purchase Price: RM 4.16 (Margin : RM 0.62 ~15%)

Brand Owner's Purchase Price:

RM 2.97 (Margin : RM 1.19 ~40%) (Assuming the 30% - 50% Range)

Supplier's Manufacturing cost:

RM 2.64 (Margin : RM 0.33 ~12.5%) (Assuming the 10% - 15% range)

Packaging Cost: RM 0.26

Supplier's Net cost : RM 2.38



Market Research

Biodegradable packaging in Malaysia is generally 30% to 50% more expensive than traditional plastic packaging. However, for certain shapes, it could go up to 300% more expensive.

Secondary Sources Used:

- <https://www.3ecpa.com.my/sme/compulsory-use-of-biodegradable-and-compostable-plastics-in-malaysia/>
- <https://bioplasticsnews.com/2019/06/24/biodegradable-plastics-uptake-still-discouraging-in-malaysia/>
- <https://www.circlepac.com/>
- <https://ecowaretc.com/>
- <https://www.greenecoparadise.com/biodegradables/premium-biodegradable-food-containers-malaysia/>



Cost Calculation (After Implementing New Packaging)

Assuming an increase of **30%** in Packaging Cost

Retail Price : **RM 5.66** (Increased From RM 5.50)

Retailer's Purchase Price : **RM 4.92** (Increased from RM 4.78)

Distributor's Purchase Price : **RM 4.28** (Increased from RM 4.16)

Brand Owner's Purchase Price : **RM 3.06** (Increased from RM 2.97)

Supplier's Manufacturing Cost : **RM 2.72** (Increased from RM 2.64)

New Packaging Cost: **RM 0.34** (Increased from RM 0.26)



Cost Calculation (After Implementing New Packaging)

Assuming an increase of **50%** in Packaging Cost

Retail Price : **RM 5.78** (Increased From RM 5.50)

Retailer's Purchase Price : **RM 5.03** (Increased from RM 4.78)

Distributor's Purchase Price : **RM 4.37** (Increased from RM 4.16)

Brand Owner's Purchase Price : **RM 3.12** (Increased from RM 2.97)

Supplier's Manufacturing Cost : **RM 2.77** (Increased from RM 2.64)

New Packaging Cost: **RM 0.39** (Increased from RM 0.26)



Cost Calculation (After Implementing New Packaging)

Assuming an increase of **300%** in Packaging Cost

Retail Price : **RM 7.13** (Increased From RM 5.50)

Retailer's Purchase Price : **RM 6.20** (Increased from RM 4.78)

Distributor's Purchase Price : **RM 5.39** (Increased from RM 4.16)

Brand Owner's Purchase Price : **RM 3.85** (Increased from RM 2.97)

Supplier's Manufacturing Cost : **RM 3.42** (Increased from RM 2.64)

New Packaging Cost: **RM 1.04** (Increased from RM 0.26)



Summary of Retail Price Simulation

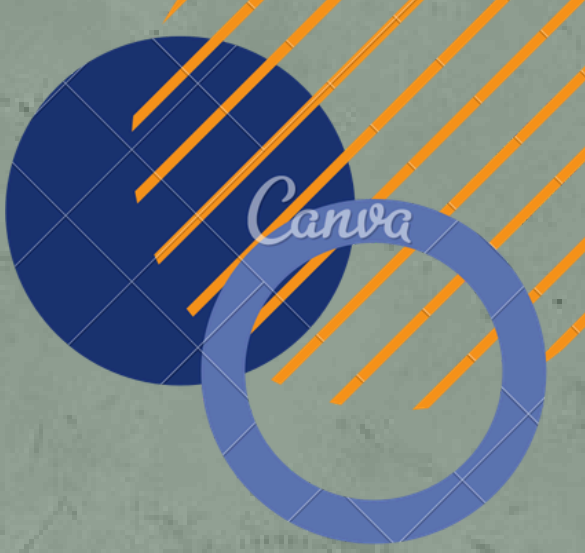
Original : RM 5.50 30%

Increase : RM 5.66 50%

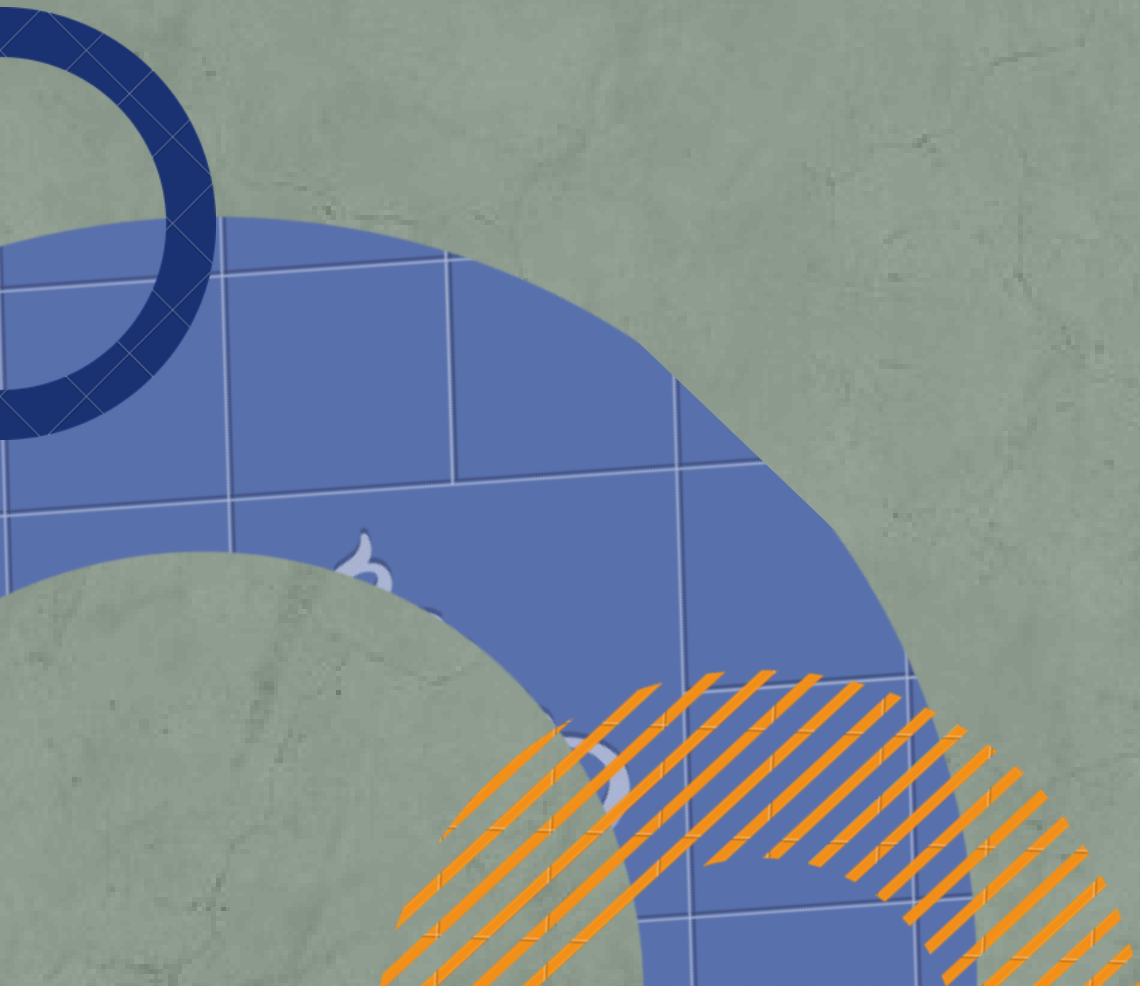
Increase : RM 5.78 300%

Increase : RM 7.13





COST



Material Cost

PLA Resin

100% Biodegradable Resin PLA Resin for Making Shopping/Rolling/Garbage Bag

Reference FOB Price / Purchase Qty. ⓘ

[Get Latest Price](#)

US \$2,750.00

20-49 Tons

US \$2,550.00

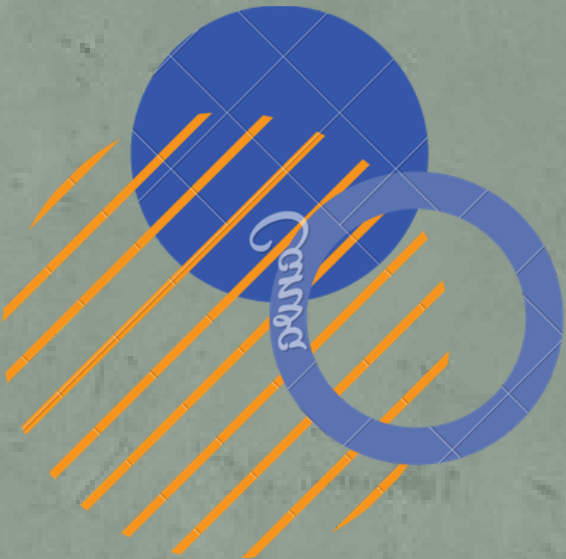
50+ Tons

CAS No.: 26100-51-6

Formula: $(C_3H_4O_2)_n$

EINECS: 201-245-8

Molecular Principal Chain: Carbon Chain Polymer



Material Cost

PLA Resin

Minimum Order Quantity

100% Biodegradable Resin PLA Resin for Making Shopping/Rolling/Garbage Bag

Reference Price / Purchase Qty. ⓘ

[Get Latest Price](#)

US \$2,750.00

20-49 Tons

US \$2,550.00

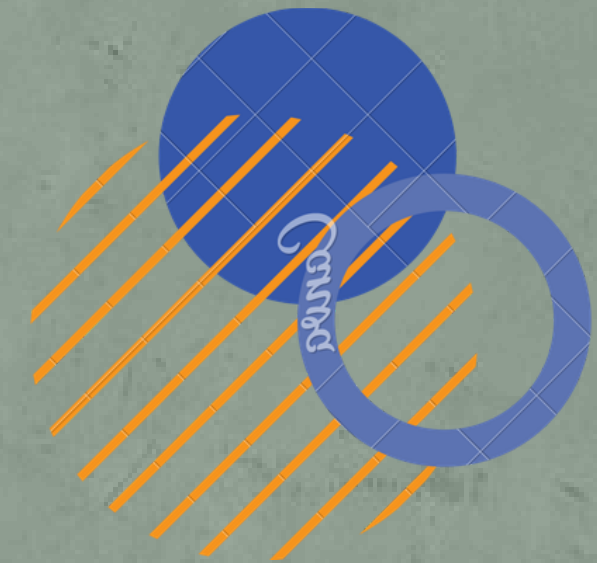
50+ Tons

CAS No.: 26100-51-6

Formula: $(C_3H_4O_2)_n$

EINECS: 201-245-8

Molecular Principal Chain: Carbon Chain Polymer



Material Cost

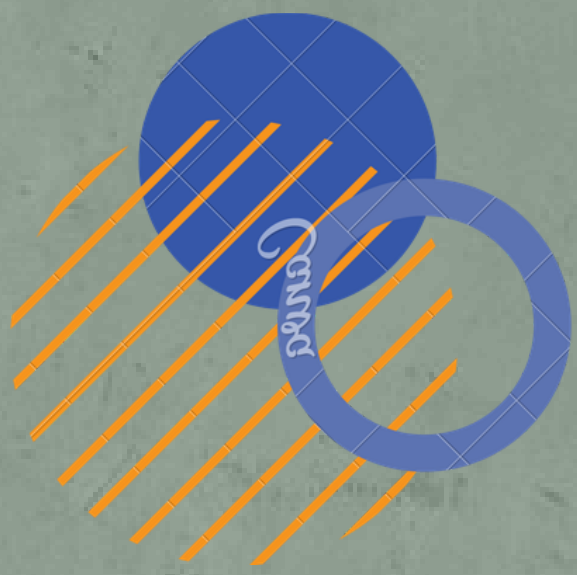
PLA Resin

100% Biodegradable Resin PLA Resin for Making Shopping/Rolling/Garbage Bag

Reference FOB Price / Purchase Price		Get Latest Price
US \$2,750.00	US \$2,550.00	
20-49 Tons	50+ Tons	

CAS No.:	26100-51-6
Formula:	(C3h4o2)N
EINECS:	201-245-8
Molecular Principal Chain:	Carbon Chain Polymer

Cheapest Order Quantity



Material Cost

PLA Resin

100% Biodegradable Resin PLA Resin for Making Shopping/Rolling/Garbage Bag

Reference FOB Price / Purchase Qty. ⓘ

[Get Latest Price](#)

US \$2,750.00

20-49 Tons

US \$2,550.00

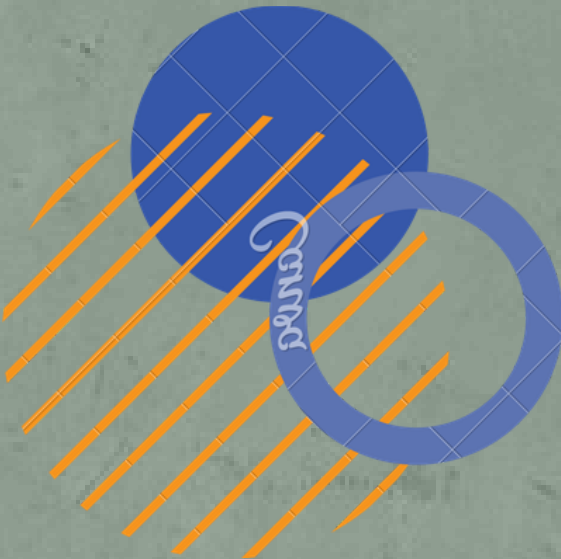
50+ Tons

CAS No.: 26100-51-6

Formula: (C3h4o2)N

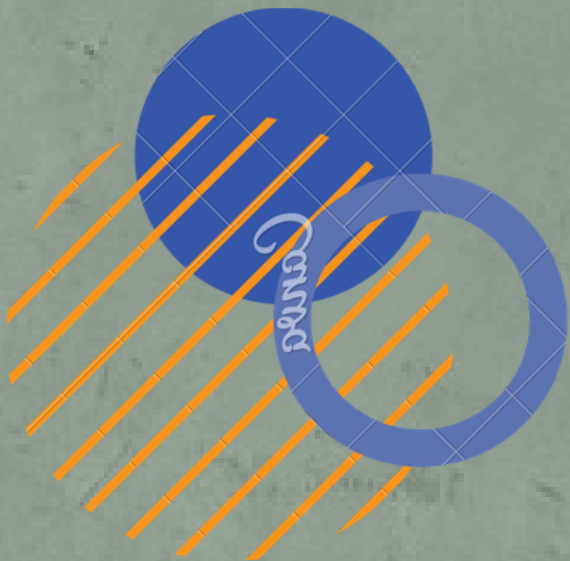
EINECS: 201-245-8

Molecular Principal Chain: Carbon Chain Polymer



Material Cost

Spesification



Basic Info.

Model NO.	Biodegradable resin
Toxicity	Non
Transport Package	Box
Trademark	techuang
HS Code	3907991090

Usage	Biodegradable Product
Flavor	Non
Specification	granule
Origin	Henan
Production Capacity	500ton/Month

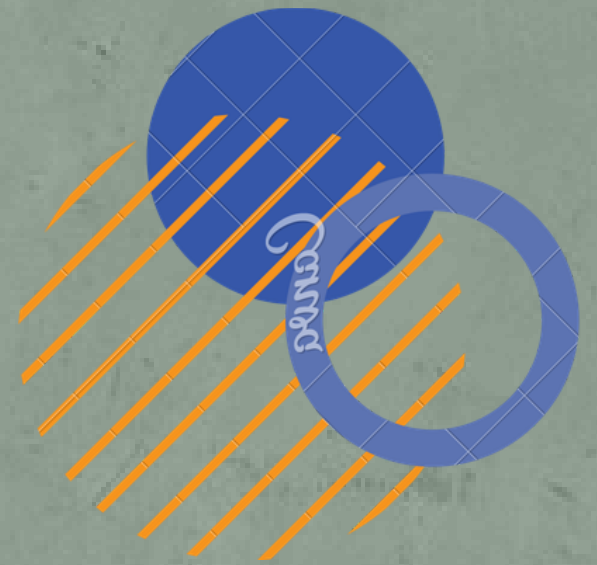
Product Description

Product Description

Materials	100% Biodegradable PLA /PBAT biodegradable resin
Features	Biodegradable and compostable
Packing	25kg/bags
Use	To make bags, cup film and straw. 100% biodegradable products
Delivery Time	10-20days after order confirmed

Material Cost

Supplier Profile



Material Cost

Supplier Profile

Q1: Are you a Manufacturer/Factory?

Yes. We are the direct Manufacturer, ultimate Factory, which has been specialized in biodegradable packaging industry for over 2 years experience since 2020.

Q2: Do you accept customized size or custom printing?

Yes, Custom sizes & color & printing are all available.

Q3: If I want to get a Quotation, what information needs to be provided to you?

Size (Width * Length * Thickness), Color and Quantity.

Q4: What is your samples policy?

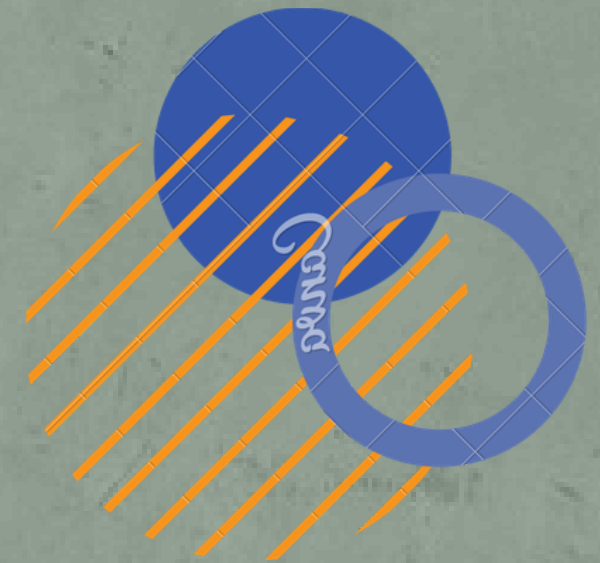
Free for our existing stock samples or standard size samples.

Reasonable charge for special size and custom printing.

Q5: What is your Lead time or turn around time?

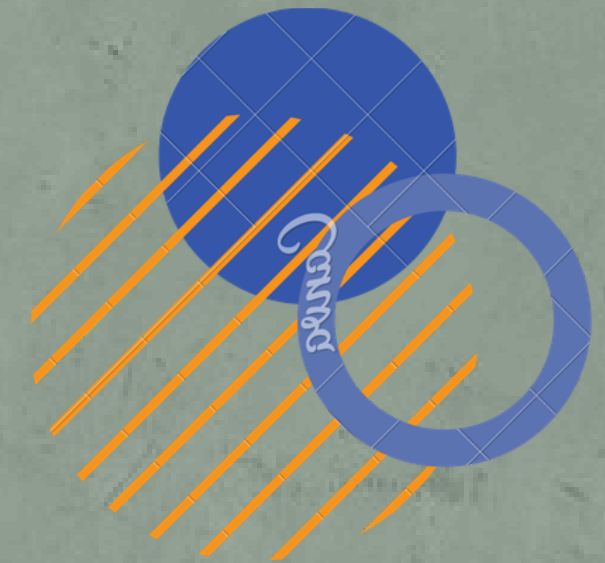
Usually, 5 days for the stock sizes we arrange productions regularly.

It will be around 15 days for custom size or custom printing order for the first time.



Material Cost

Ink



LEAF Hot sales Factory price CMYKW UV Ink for uv printer machine

Reference FOB Price / Purchase Qty. ⓘ

[Get Latest Price >](#)

US \$18.00

20-99 kg

US \$15.00

100+ kg

Type: Solvent Based Ink

Printing Type: Digital Printing

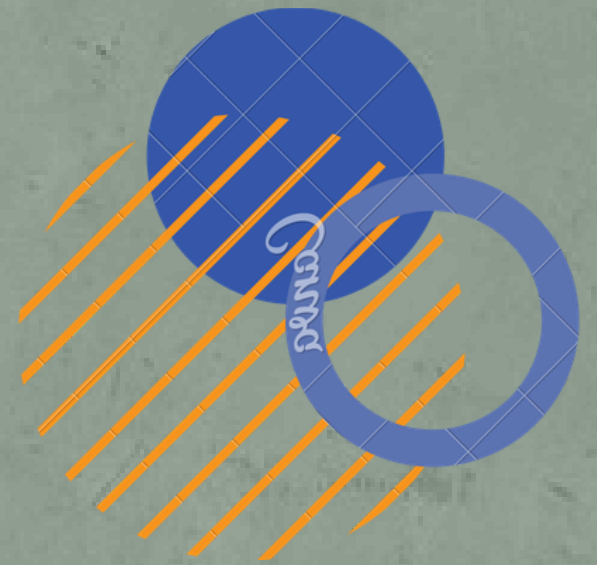
Ink Drying: Heat Curing

Performance: Viscosity

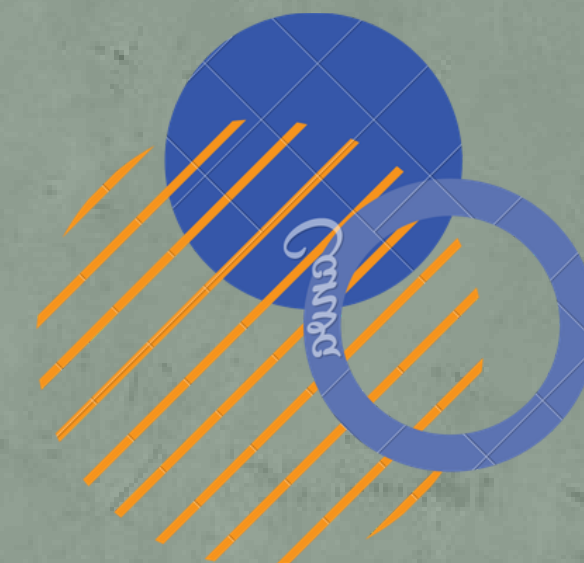
Component: Pigment

Suitable for Printer: Ink for Dtf Printer

Samples: **US\$ 1/kg** 1 kg(Min.Order) | [Request Sample](#)

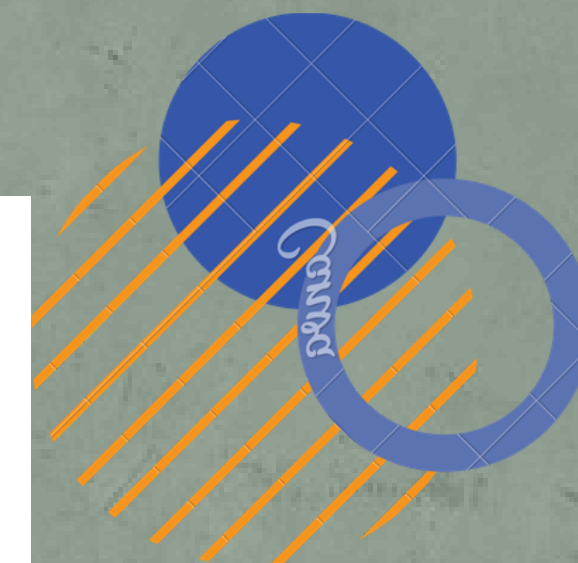
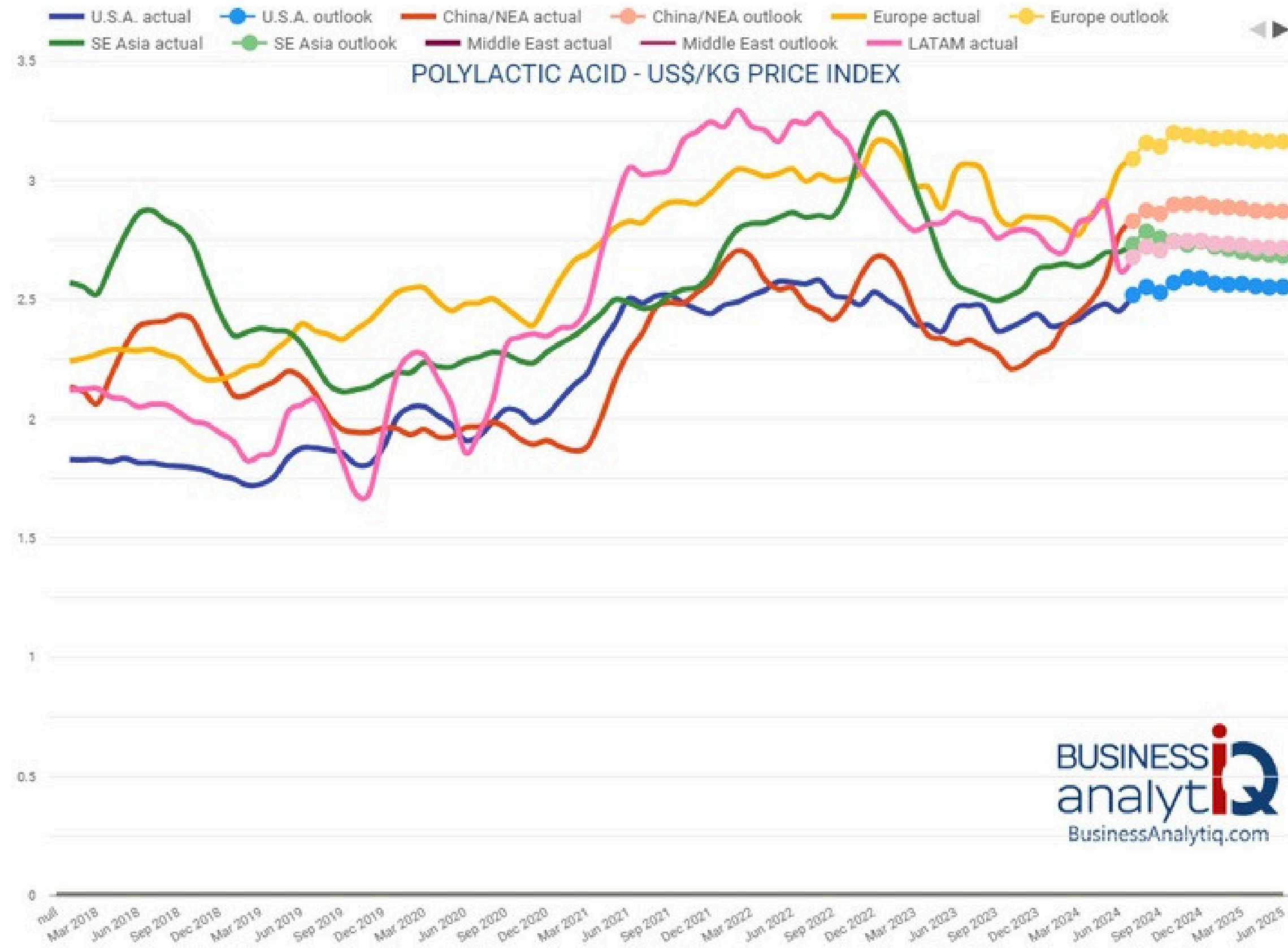


IS IT FAIR PRICE?



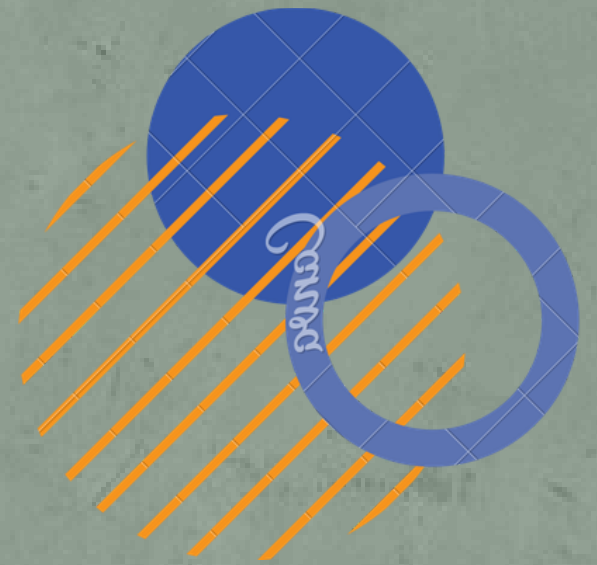
Polylactic acid (PLA) price July 2024 and outlook (see chart below)

- North America:US\$2.52/KG, 2.9% up
- Europe:US\$3.09/KG, 1.3% up
- Northeast Asia:US\$2.83/KG, 2.2% up
- Southeast Asia:US\$2.73/KG, 1.1% up



Potential Bottleneck

- Current partner machine is not compatible, for the raw ingredients
- The supplier can't consistently supply large quantity for nibou industry
- Fluctuation on the PLA, and INK Prices



04/ Timeline

- Targeting /Executionperiod for marketing and packaging
- KPI needed to achieve in each stage



PRODUCT TIMELINE

Teams	1st Quarter	2nd Quarter	3rd Quarter	4th Quarter
Supply Chain	Sourcing & Supplier Evaluation	Integration with Manufacturers		
Product Development		Prototyping & Testing	Full-Scale Production & Distribution	
Marketing		Marketing Campaign Preparation	Marketing Campaign Launch	Monitoring & Optimisation



1st Quarter

Sourcing and Supplier Evaluation:

- Task
 - Identify potential biodegradable materials suppliers
 - Conduct site visits and comprehensive audit that compliance with Nibou's standards
 - Ensuring inclusion of sustainability and quality clauses and Finalise supplier contracts
- KPI
 - Number of suppliers being evaluated and selected
 - Meet quality and sustainability standards



2nd Quarter

Integration with Manufacturers

Task:

- Deliver initial batches of biodegradable materials to the manufactures
- Conduct training sessions for staffs

KPI:

- Delivery and Integration materials
- Number of training sessions completed

Marketing Campaign Preparation

Task:

- Develop engaging content
- Create a comprehensive marketing campaign plan

KPI:

- Completion and approval of marketing campaigns
- Planned campaign activities

Prototyping and Testing

Task:

- Deliver packaging prototypes for the products using PLA materials
- Testing prototypes for durability, safety and performance under various conditions
- Collect feedback and make adjustments

KPI:

- Number of prototypes developed and tested





3rd Quarter



Full-Scale Production and Distrubution

- Task
 - Transition to full-scale production
 - Monitor production lines and optimise processes
 - Updating inventory systems
 - Ensure distribution to retailers and distributors
- KPI
 - Production volume achieved with minimal disruptions
 - High efficiency of inventory and logistics management
 - Final marketing campaign launch

Marketing Campaign

- Task
 - Launch consumer education campaigns across social media, webinars, and influencer platforms
 - Implement QR codes on packaging
 - Tracking engagement metrics and consumer feedback
 - Adjust strategies based on performance data
- KPI
 - Statistical engagement metrics (likes, shares, comments)
 - Number of attendance at events
 - QR code scan rates and cinsumer interaction

4th Quarter



Monitoring and Optimisation

- Task
 - Continuously monitor supply chain, cost efficiency, marketing effectiveness
 - Implement cost tracking system to monitor expenses associated with the transition
 - regularly review and improve processes based on feedback and performance data
- KPI
 - Reduction in operational costs over time
 - Increased consumer engagement and loyalty
 - Continuous improvement in supply chain efficiency



FINAL

Conclusion

Our recommended solution for Nibou Industry to Nurture Sustainable Initiatives

1. Introduce biodegradable packaging materials -- Polylactic Acid Resin (PLA)
2. Source Sustainable materials (from potential suppliers in Malaysia or overseas)
 - Consider cost budget and evaluate the feasibility of adopting renewable packaging materials with new suppliers (higher packaging costs, increase in product price)
3. Consumer sustainability education campaign
 - Local ambassadors
 - Workshops and webinars
 - Social media campaign



Thank You